

Fundamental Analysis

Tabulation of all the ratios and values:

Fundamental Analysis	Mandatory			Optional	
Earnings per Share	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	32.21	30.86	32.04		
NTPC	18.64	17.73	16.62		
Tata Steel	3.85	12.68	270.33		
Bharat Electronics	5.5	4.11	9.64		
Hindustan Unilever Limited	43.05	42.4	37.53		
Fundamental Analysis	Mandatory			Optional	
Price to Sales Ratio (P/S)	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	2.6	1.31	1.87		
NTPC	2.01	1.04	1.13		
Tata Steel	1.38	0.99	1.24		
Bharat Electronics	7.3	4.04	3.35		
Hindustan Unilever Limited	8.82	10.17	9.41		
Fundamental Analysis	Mandatory			Optional	
Price to Earnings Ratio (P/E)	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	8.32	4.89	5.12		
NTPC	18.02	9.88	8.12		
Tata Steel	40.48	8.24	0.48		
Bharat Electronics	36.64	23.73	7.29		
Hindustan Unilever Limited	52.6	60.39	54.59		
Fundamental Analysis	Mandatory			Optional	
Gross profit margin	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	59.8	57.03	55.72		
NTPC	28.95	28.81	32.5		
Tata Steel	23.37	24.05	40.75		
Bharat Electronics	28.52	24.97	23.13		
Hindustan Unilever Limited	25.07	24.13	25.19		
Fundamental Analysis	Mandatory			Optional	
Operating profit margin	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	44	43.13	39.34		
NTPC	20.34	20.78	22.83		

Tata Steel	19.14	19.83	36.51		
Bharat Electronics	26.48	22.66	20.65		
Hindustan Unilever Limited	23.26	22.38	23.18		
Fundamental Analysis	Mandatory			Optional	
Net profit margin	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	31.23	26.86	36.53		
NTPC	11.16	10.5	13.87		
Tata Steel	3.4	12.01	25.58		
Bharat Electronics	19.93	17.03	15.33		
Hindustan Unilever Limited	16.72	16.84	17.22		
Fundamental Analysis	Mandatory			Optional	
Current Ratio	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	1.58	1.29	0.98		
NTPC	1.06	1.04	0.95		
Tata Steel	0.73	0.73	0.58		
Bharat Electronics	1.54	1.46	1.39		
Hindustan Unilever Limited	1.64	1.38	1.34		
Fundamental Analysis	Mandatory			Optional	
Quick Ratio	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	1.32	1.09	0.77		
NTPC	0.85	0.86	0.8		
Tata Steel	0.24	0.28	0.21		
Bharat Electronics	1.2	1.15	1.11		
Hindustan Unilever Limited	1.33	1.03	0.98		
Fundamental Analysis	Mandatory			Optional	
Debt-equity Ratio (D/E)	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	0.02	0.03	0.03		
NTPC	1.24	1.33	1.33		
Tata Steel	0.29	0.28	0.26		
Bharat Electronics	0	0	0		
Hindustan Unilever Limited	0	0	0		
Fundamental Analysis	Mandatory			Optional	
Interest Coverage	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	19.01	30.53	26.05		
NTPC	4.58	4.73	5.14		

Tata Steel	7.89	8.18	18.83		
Bharat Electronics	819.66	298.01	730.48		
Hindustan Unilever Limited	50.21	141.31	131.59		
Fundamental Analysis	Mandatory			Optional	
Interest Coverage	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	19.01	30.53	26.05		
NTPC	4.58	4.73	5.14		
Tata Steel	7.89	8.18	18.83		
Bharat Electronics	819.66	298.01	730.48		
Hindustan Unilever Limited	50.21	141.31	131.59		
Fundamental Analysis	Mandatory			Optional	
3 years Sales	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	129741	144513	110318		
NTPC	161985	163769	116137		
Tata Steel	140987	129006	129021		
Bharat Electronics	20169	17646	15313		
Hindustan Unilever Limited	60469	59144	51193		
Fundamental Analysis	Mandatory			Optional	
3 years Net profit	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	40525	38828	40305		
NTPC	18079	17196	16111		
Tata Steel	4807	15495	33011		
Bharat Electronics	4020	3006	2348		
Hindustan Unilever Limited	10114	9962	8818		
Fundamental Analysis	Mandatory			Optional	
Return on Investment (ROI)	Year 1	Year 2	Year 3	Year 4	Year 5
Particulars	2024	2023	2022		
ONGC	3.942738114	3.791770955	3.176863949		
NTPC	0.1159982943	0.1035826489	0.1025711743		
Tata Steel	0.1266182548	0.4826608114	1.534454692		
Bharat Electronics	5.49946647	4.112287614	9.63637856		
Hindustan Unilever Limited	43.03829787	42.39148936	37.52340426		
Note:					
ROI=Net income/(long-term liabilities + shareholders' equity) [when investment details aren't mentioned]					

Inferneces:

1. ONGC-

Key Observations:

- **Stable EPS** (~32) with **low P/E (8.32 in 2024)** :Undervalued relative to earnings.
- **Strong profit margins**: Gross Margin (59.8%) and Net Margin (31.23%).
- **Debt-free** (D/E = 0.02) and high **interest coverage (19.01)**.
- **Steady Sales & Profit Growth** (Sales: ₹1,29,741 Cr in 2024, Net Profit: ₹40,525 Cr).

2. NTPC

Key Observations:

- **Moderate EPS growth** (~18.64 in 2024).
- **Rising P/E ratio** (18.02 in 2024) --Valuations increasing.
- **Lower profit margins** (Net Profit Margin: 11.16%) compared to ONGC.
- **High Debt-to-Equity Ratio (1.24)** --Heavy reliance on debt.
- **Steady revenue and profit growth** (Sales: ₹1,61,985 Cr, Profit: ₹18,079 Cr).

3. Tata Steel

Key Observations:

- **Huge drop in EPS** (270.33 in 2022 -- 3.85 in 2024).
- **P/E skyrocketed (40.48 in 2024)** :Overvalued due to falling earnings.
- **Declining Gross and Net Profit Margins** (Net Margin: 3.4% in 2024 vs. 25.58% in 2022).
- **Falling Interest Coverage (7.89 in 2024 vs. 18.83 in 2022)** --Debt servicing risk.
- **Sales steady but Net Profit fell drastically** (₹4,807 Cr in 2024 vs. ₹33,011 Cr in 2022).

4. Bharat Electronics - BEL

Key Observations:

- **EPS fluctuating but stable** (5.5 in 2024).
- **P/E rising (36.64 in 2024)** :High investor confidence.
- **Strong Profit Margins** (Net Margin 19.93%, Operating Margin 26.48%).
- **Debt-free with High Interest Coverage (819.66)** :Extremely strong financial health.
- **Steady revenue growth** (₹20,169 Cr in 2024) with increasing profits (₹4,020 Cr).

5. Hindustan Unilever Limited - HUL

Key Observations:

- **Consistent EPS growth** (37.53 in 2022 --43.05 in 2024).
- **High P/E (52.6 in 2024)** --Expensive stock, but justified due to strong brand.
- **Stable Profit Margins** (Net Margin ~16.72%).
- **Zero Debt with High Interest Coverage (50.21)** --Very strong financials.
- **Steady Revenue and Profit Growth** (Sales: ₹60,469 Cr in 2024, Profit: ₹10,114 Cr).

Final Investment Verdict:

Sector	Company	Investment Verdict
Oil & Gas	ONGC	Good for value investors; undervalued
Power	NTPC	Moderate risk, stable returns
Steel	Tata Steel	High risk, avoid for now
Defense	Bharat Electronics	Strong financials, good long-term bet
FMCG	Hindustan Unilever	Best for long-term stability

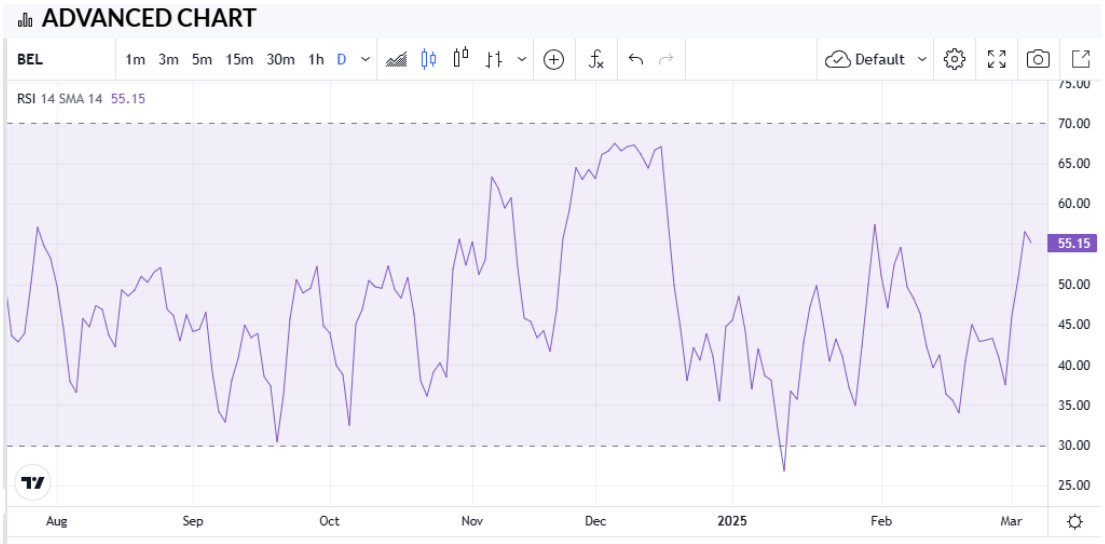
Conclusion:

- **Safe Long-Term Investments:** HUL, Bharat Electronics
- **Moderate Risk, Steady Returns:** ONGC, NTPC
- **High Risk, Uncertain Future:** Tata Steel

Technical Analysis

Trendlines:







RSI Analysis for Portfolio Stocks & Future Actions:

1. ONGC (Oil & Natural Gas Corporation)-

Current RSI: 42.97

Interpretation:

RSI is **below 50**, indicating **weak momentum** but **not oversold**. The stock has seen recent fluctuations but has **not yet entered a strong reversal zone (<30 RSI)**.

Action: If RSI drops below 35, consider **buying for value investment**. Hold for now and accumulate on further dips.

2. NTPC (National Thermal Power Corporation)

Current RSI: 63.01

Interpretation:

RSI is **above 60**, indicating **strong upward momentum**. If RSI crosses **70**, it may enter **overbought territory**, signaling a possible correction.

Action: Hold for now; if RSI moves towards 70-75, consider **partial profit booking**.

3. Tata Steel

Current RSI: 71.32

Interpretation:

RSI is **above 70**, entering **overbought territory**. A **potential correction** might occur soon. Stock has seen **strong buying recently**, leading to high RSI levels.

Action: **Avoid fresh buying at this level** due to overbought conditions. Consider **profit booking** in small portions. Wait for a correction towards RSI 40-45 before re-entering.

4. BEL (Bharat Electronics Ltd.)

Current RSI: 55.15

Interpretation:

RSI is **neutral (50-60)**, indicating **steady momentum**. No immediate signs of overbought/oversold conditions.

Action: Hold the stock; good long-term investment. If RSI nears **30**, **add more** for long-term growth.

5. Hindustan Unilever

Current RSI: 38.78

Interpretation:

RSI **below 40** indicates **weak momentum and close to oversold territory**. Downtrend pressure remains, but a reversal could be near.

Suggested Action:

Potential **buying opportunity** if **price stabilizes** and RSI moves above 40. If already holding, **avoid panic selling**—wait for a trend reversal.

Final Portfolio Strategy

Stock	Interpretation	Suggested Action
ONGC	Weak momentum, neutral	Hold & watch for reversal
NTPC	Strong momentum, nearing overbought	Hold, trail stop-loss
Tata Steel	Overbought, risk of correction	Partial profit booking
BEL	Neutral, no strong trend	Hold & monitor
Hindustan Unilever	Close to oversold, possible reversal	Buy on trend confirmation

Next Steps:

Monitor ONGC & Hindustan Unilever for reversal signals.

Consider profit booking in Tata Steel to lock in gains.

Hold NTPC & BEL while keeping a close watch on market conditions.